

hasn't kicked off. Why is that?

A: This is a great time, from the point of view of Indian banking. However, a lot of the Indian bank lending, if you look at the last decade or so, has moved away from corporate lending to much more retail lending—a lot more consumer loans... On the other hand, corporate lending businesses are not growing at the same time. And there could be two or three reasons [for that]. One, I wonder where are the animal [spirits] of all the corporates? What is it that is holding corporations from going ahead and expanding at speed?

My view is a lot of the global uncertainty may be weighing on corporates' minds... We [also] have to ask the tough question that despite China going through all its troubles, why does India have a net trade deficit with it? Why is it that we in India cannot manufacture and find it cheaper to import from China? India pays a \$100 billion a year to China in terms of net imports...

Q: How bad do you think things are in China?

A: From the late '70s to 2020, China was focussed on pragmatism in economics... I think China is moving away from pragmatism on economics to ideology, which is working against Chinese entrepreneurship. I think it's a very important opportunity for India to grab and grow at 9-10 per cent, not at 6 per cent.

Q: What should India do to go from 6 per cent to 9 per cent?

A: Over the next 10-20 years, go for 9-10 per cent growth, unleash Indian entrepreneurship, have great guardrails for fair competition and encourage free and fair markets with enterprise to transform India not just to the third-largest economy but to a much higher per capita income.

Q: Do you see that happening?

A: We are doing the right thing by increasing government spending... On the back of it, we need to create an environment where corporate India is ready to take big calls on investing in the future... There is a significant concentration of new investments happening by only a few groups...

Q: This could happen for two reasons. One, the animal [spirits] of those promoters are stronger than the others; or two, policy is skewed to favour some over others...

A: From a policy point of view, and I'm not saying the policy is skewed, my sense is policy must encourage many flowers to bloom... Let me give you a few examples... In the airline industry, you've consolidated

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“My advice to the younger generation is, think out of the box, and take those bold calls, which the computer will never [take]. AI is a left brain competitor, [not] a right brain competitor. So, use your right brain a lot more in the future”

effectively to two and a quarter [players]. In the steel sector, two big guys and a lot of small guys. So massive consolidation has happened and continues to happen. And with that, [there is] the risk of concentration of business power... in a few hands, which, in the short run, can give us results. But [in the] long run, you want many businesses to flourish.

Q: What would you do differently?

A: I think most important, free and fair markets, backed by policy that allows a competitive market-